

AHMEDABAD-BASED YOJANA SINGH, a 40-year-old adventure seeker, cannot wait to visit the US. She has planned her first trip abroad down to the last detail, including a detailed packing list and an extensive shopping expedition. However, she hasn't given much thought to financing options for international shopping, dining and travel. Singh is confused about whether she should carry forex from India or use an international debit or credit card in the US, and wants to know the best and most cost-effective option. "My credit card levies 3.5 per cent as markup fee plus GST for cross-border payments. I am looking for some cheaper options to make the most of my trip."

And just like Singh, even you should look for the cheapest options to carry forex abroad, as it is important to plan ahead your payment options when travelling to foreign countries. Although cash has its advantages, it also carries the risk of being lost or stolen and may not provide you with the greatest conversion rates. Furthermore, people are more at ease utilising digital money following the Covid-19 outbreak, as some countries restricted the use of physical currency during the pandemic. This is why it is so important to be aware of viable options.

Fortunately, technology has enabled faster and more user-friendly solutions for overseas transactions. Payment options have expanded beyond only cash and credit cards in recent years. For example, UPI (Unified Payments Interface) has recently expanded into a few foreign markets, making it easier to make payments while abroad. Here are a few options to make payments when travelling abroad, along with their benefits and drawbacks, to help you make an informed decision.

INTERNATIONAL CREDIT CARDS

Most credit or debit cards offered in India have international acceptance. These cards are generally issued via global networks such as Visa and Mastercard. While credit cards are convenient and widely accepted, they levy a forex markup as well as tax collected at source (TCS) at a rate of 20 per cent (applicable from July 1) on spends of more than ₹7 lakh in foreign currency transactions, according to recent guidelines issued by the government. "When you're swiping today, you get three line items. The item cost in dollars, markup charges and the GST on the forex. You might get a fourth line now, which is the 20 per cent TCS [for spends of more than ₹7 lakh]. But let's wait for clarity to emerge on how this is going to get operational by July 1," says Adhil Shetty, CEO of BankBazaar.com.

So, while there is no TCS below spends of ₹7 lakh currently, there are other fees to be considered. "The cost-effectiveness of these cards is contingent upon factors like the exchange rate, foreign transaction fees, and other card-related fees. Some credit cards offer rewards, such as cashback or points, for foreign purchases, which

can mitigate a portion of the costs associated with using the card," explains Rikant Pittie, Co-founder of travel booking platform EaseMyTrip.

For example, there is the forex markup fee (charged on every foreign currency transaction) of 0-4 per cent that differs for each credit card provider. Although that may not sound like much, it can add up to quite a bit. Consider this: if you make a purchase of ₹10,000 using your international credit card, it's possible that you'll have to pay an extra ₹400 as forex fee.

Currently, many banks have started issuing credit cards with no or modest forex markup costs, thanks to their partnerships with innovative fintechs. For instance, there is no markup on forex cards like RBL World Safari Credit Card, while One Card and YES First Exclusive Credit Card charge 1 per cent and 1.75 per cent markup fees, respectively, for transactions abroad. "In these (debit/credit) cards, the primary currency of transaction is INR, hence there is a forex markup. With these cards, customers may not have control over rates when making ATM withdrawals or spending overseas," says Puneet Kapoor, President of Products, Alternate Channels & Customer Experience Delivery at Kotak Mahindra Bank.

Then, the other factor to keep in mind is interbank exchange rates (IBR). These are rates at which banks buy and sell currencies from each other. However, credit card companies may charge customers more than the IBR for foreign transactions to cover their expenses. So, do keep in mind the margin charged by your card provider over the IBR, especially in case of zero-markup-fee cards.

However, none of these can be done if you don't activate international transactions on your card before going on your next foreign trip, as most cards do not have this option activated by default.

FOREX/ATM WITHDRAWALS

Travelling abroad may also require cash, as it is determined by the country of travel. For example, in the US, credit cards are widely accepted. But in countries like Vietnam and Indonesia, card payments may not be so popular, so you may need to carry cash. An important point to keep in mind is that airport forex rates are marked up, so it's best to avoid buying them there. Therefore, it is advisable to buy forex at an online marketplace or a bank with a low IBR markup.

Moreover, there will be TCS on cash conversions too from July 1. "At present, 5 per cent TCS is only applicable above ₹7 lakh. Starting July 1, TCS will be applicable on currency notes on the complete amount at 20 per cent," says Anand Tandon, Founder & CEO of Myforexeeye, a Noida-based fintech firm. Experts say that though the TCS amount can be adjusted at the time of filing income-tax returns, it creates a cash-flow problem for travellers.

ATM withdrawal is another option. However, care should be taken when withdrawing cash internationally. Several parties are involved when using an ATM